

There wasn't much of a performance difference except for big Ws where the price of both bottoms was the same. When that happened, performance suffered, and quite substantially.

Higher bottom volume. I found that if the right bottom of the big W has volume higher than the left bottom, patterns outperform in bull markets and underperform in bear markets. Because the bull and bear market values show opposite performance results, it concerns me that this finding won't be reliable. Use it with caution.

Time to launch. I measured the time from the launch price to the first bottom and compared it to the time from the second bottom to the ultimate high. The numbers show that the drop into the big W is short, about three weeks, but the recovery is long. In bull markets, the median is about four times as long.

Rise between valleys. I compared the height of the peak between the two bottoms of the big W to performance. If the rise was taller than the median (measured as the height from peak between the two bottoms to the lower of the two bottoms divided by the price of the lower of the two bottoms), then performance improved. In bull markets, the differences are pronounced compared to bear markets.

Experience

I have traded the big W a number of times, but all from the buy side so the lessons learned aren't as important as those on the sale side. To put it another way, it doesn't matter at what price you buy. It only matters at what price you sell.

Let me tell you about what I found in my trade review.

Abercrombie & Fitch Co.

Abercrombie & Fitch Co. (ANF) in 2017 had been trending lower for almost a year after peaking in March 2016. I saw a big W forming and thought this would make for a good bottom-fishing trade.

Here's what I wrote in my trading notebook. "Buy reason: Extra cash. I'm hoping that this will be the start of a rebound, a fallen angel-type play.